

managers as a group are destined to fail at the task of providing adequate returns; and insensitive and unforthcoming to the multitudinous ways in which we as an industry fail our clients.

We pander to the public taste by bringing out new funds to capitalize on each new market fad, and we magnify the problem by heavily advertising the returns earned by our hottest funds. In a phrase, salesmanship has trumped stewardship, and our investors are the ones who have suffered. Our trade association, the Investment Company Institute (ICI), has *never* noted the gap between the returns reported by mutual funds and the returns actually received by fund shareholders, even as it claims to be the advocate for those very shareholders. Nor, for that matter, has the ICI noted the huge returns earned by fund management companies regardless of whether fund shareholders are making any money.

These are but two of the many examples that add to the evidence that belies the consistent claim of the industry, articulated over and over again at the annual membership meetings of the ICI, that “the interests of mutual fund managers are directly aligned with the interests of mutual fund shareholders.” It is simply not true.

It must seem obvious that there is an urgent need to face up to these and other failures in the changing world of capitalism, and especially the rapidly changing world of the mutual fund industry. Yet it is remarkable to me that a situation so dire has occasioned such a dearth of public discourse. While we drown in innovation, we starve for introspection, the one quality that might allow us to truly see where we have been, where we are going, and what we must do to earn the trust of the investors.

In the investment community, I have seen no defense of the inadequate returns delivered by mutual funds to investors, nor of the industry’s truly bizarre, counterproductive ownership structure; no attempt by fund managers to explain why the rights of ownership that one would think are implicit in holding shares of stock in our portfolios remain largely unexercised; no serious criticism of the virtually unrecognized turn away from the once-conventional and pervasive investment strategies that relied on the wisdom of long-term investing, toward strategies that increasingly rely on the folly of